

Attitude to Risk Questionnaire



Personal Details

Client Name

Date of Birth [dd/mm/yyyy]

Email

Guidance

Please answer the following questions which ask about your thoughts, attitudes and experiences when making financial investments and decisions. There are no right or wrong answers. They are to help us assess your attitude to risk in making investments.

- Don't spend too much time considering - your first response is probably best.
- Answer every question even if you feel it doesn't really apply to you.

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1. I would enjoy exploring investment opportunities for my money.

- ☐ I strongly agree with this statement
- ☐ I tend to agree with this statement
- ☐ In between
- ☐ I tend to disagree with this statement
- ☐ I strongly disagree with this statement

2. I would go for the best possible return even if there were risk involved.

- ☐ Always
- ☐ Usually
- ☐ Sometimes
- ☐ Rarely
- ☐ Never

3. How would you describe your typical attitude when making important financial decisions?

- ☐ Very adventurous
- ☐ Fairly adventurous
- ☐ Average
- ☐ Fairly cautious
- ☐ Very cautious

4. What amount of risk do you feel you have taken with your past financial decisions?

- ☐ Very Large
- ☐ Large
- ☐ Medium
- ☐ Small
- ☐ Very Small

5. To reach my financial goal I prefer an investment which is safe and grows slowly but steadily, even if it means lower growth overall.

- ☐ I strongly agree with this statement
- ☐ I tend to agree with this statement
- ☐ In between
- ☐ I tend to disagree with this statement
- ☐ I strongly disagree with this statement

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6. I am looking for high investment growth. I am willing to accept the possibility of greater losses to achieve this.

- ☐ I strongly agree with this statement
- ☐ I tend to agree with this statement
- ☐ In between
- ☐ I tend to disagree with this statement
- ☐ I strongly disagree with this statement

7. If you had money to invest, how much would you be willing to place in an investment with possible high returns but a similar chance of losing some of your money?

- ☐ All of it
- ☐ More than half
- ☐ Half
- ☐ Less than half
- ☐ Very little, if any

8. How do you think that a friend who knows you well would describe your attitude to taking financial risks?

- ☐ Daring
- ☐ Sometimes daring
- ☐ A thoughtful risk taker
- ☐ Careful
- ☐ Very cautious and risk averse

9. If you had picked an investment with potential for large gains but also the risk of large losses how would you feel:

- ☐ Panicked and very uncomfortable
- ☐ Quite uneasy
- ☐ A little concerned
- ☐ Accepting of the possible highs and lows
- ☐ Excited by the potential for gain

10. Imagine that you have some money to invest and a choice of two investment products, which option would you choose?

- ☐ A product with a low average annual return but almost no risk of loss of the initial investment
- ☐ A product with a higher average annual return but some risk of losing part of the initial investment
- ☐ A mixture of the two products

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11. I would prefer small certain gains to large uncertain ones.

- ☐ I strongly agree with this statement
- ☐ I tend to agree with this statement
- ☐ In between
- ☐ I tend to disagree with this statement
- ☐ I strongly disagree with this statement

12. When considering a major financial decision, which statement BEST describes the way you think about the possible losses or the possible gains?

- ☐ I am excited about the possible gains
- ☐ I am optimistic about possible gains
- ☐ I think about both the possible gains and losses
- ☐ I am conscious of the possible losses
- ☐ I worry about the possible losses

13. I want my investment money to be safe even if it means lower returns.

- ☐ I strongly agree with this statement
- ☐ I tend to agree with this statement
- ☐ In between
- ☐ I tend to disagree with this statement
- ☐ I strongly disagree with this statement

What is your investment term?

- ☐ Short [3-7 years]
- ☐ Medium [8-15 years]
- ☐ Long [15+ years]

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Knowledge & Experience

14. Which of the following investment types could you explain sufficiently to a friend?

- ☐ Cash Deposits / Government Bonds
- ☐ Investment Grade or High Yield Corporate Bonds
- ☐ Equities
- ☐ Emerging Market Shares
- ☐ Absolute Return or Hedge Funds
- ☐ Unregulated Investments
- ☐ Venture Capital Trusts or EIS
- ☐ Speculative options
- ☐ Futures or spread-betting

15. Which of the following investments have you held previously?

- ☐ Cash Deposits or Government Bonds
- ☐ Developed market equities
- ☐ Emerging market equities
- ☐ Very cautious and risk averse
- ☐ Unregulated investments
- ☐ Venture Capital Trusts or EIS
- ☐ Speculative options
- ☐ Futures or spread-betting

16. What investments do you currently hold?

- ☐ Cash Deposits / Government Bonds
- ☐ Developed Market Equities
- ☐ Emerging Market Equities
- ☐ Absolute Return or Hedge Funds
- ☐ Unregulated Investments
- ☐ Venture Capital Trusts or EIS

Signature

Date of signature [dd/mm/yyyy]

This Attitude to Risk questionnaire has been statistically tested and validated in for a broad range of UK investors who were engaged in an investment advice meeting conducted by a financial advisers. The statistical validity of an ATR questionnaire is dependent on the socio economic and demographic background of participants and the manner in which the questionnaire is administered. For this reason the results from questionnaire should not be regarded as the definitive answer but rather as an informed starting point for a discussion with a client on investment risk in the context of that client's objectives and the financial significance of the investment being made. The questionnaire is only suitable for use with an investor who is prepared to take a degree of investment risk and is not designed to identify those investors who are not prepared to take any investment risk.